

Construction Cost Benchmarking

Mix Used, Senior Housing — Cost Estimate vs. San Jose / Bay Area Market Data

Purpose

This memo compares the construction cost assumptions used in the Mix Used, Senior Housing proposal against published market benchmarks and a real, recently financed San Jose project, to assess whether the proposal's \$/SF assumptions are realistic for a 2027–2028 Bay Area construction start.

What Was Used in the Proposal

The proposal applied a blended hard-cost rate by program component (retail \$350/SF, lobby/core \$450/SF, service/BOH \$300/SF, senior housing \$460/SF, communal housing \$430/SF, landscape \$250/SF), yielding a **\$409/SF blended hard construction cost** across the 32,500 SF program. A 30% contingency/escalation/GC-fee allowance was then added on top, for an **all-in total project cost of \$532/SF** (~\$17.3M total).

Market Research Findings

Source	Metric	Figure
RSMeans 2026	National mid-rise (4-7 story) apartment, hard cost	\$210–\$475 / SF
designandbids.com 2026 aggregator	California apartments generally	\$300–\$600 / SF
Same source	High-cost markets (e.g., San Francisco) high-rise	can exceed \$450 / SF
CBRE 2026 Senior Housing Survey	National avg., all care types — hard cost	\$262.75 / SF
Same survey	National avg. — total incl. soft costs & site	~\$364 / SF
Terner Center (UC Berkeley), actual CA permit data	Bay Area apartment hard cost (2018 dollars)	>\$380 / SF
Same study	Bay Area premium over rest of CA (controlled)	+\$81 / SF
Same study	Type I (concrete/steel) premium over other types	+\$65–\$71 / SF
Real San Jose comp: 797 S. Almaden Ave (99-unit mixed-use, ground-floor retail, 2025 financing)	Total development cost, all-in	\$996,000/unit; ~\$850–900 / SF

Note: the Terner Center figures are the most useful apples-to-apples read because they come from actual California building-permit data rather than a marketing cost calculator. Escalating the 2018 Bay Area hard-cost benchmark (\$380/SF) forward at a conservative 4–5%/year construction-cost inflation rate (RLB's current national annualized rate is roughly 4%, and the Bay Area has historically run hotter) puts **2027–2028 Bay Area hard costs at roughly \$550–\$650/SF** for a wood-frame-over-podium building — before any senior-housing accessibility/life-safety premium.

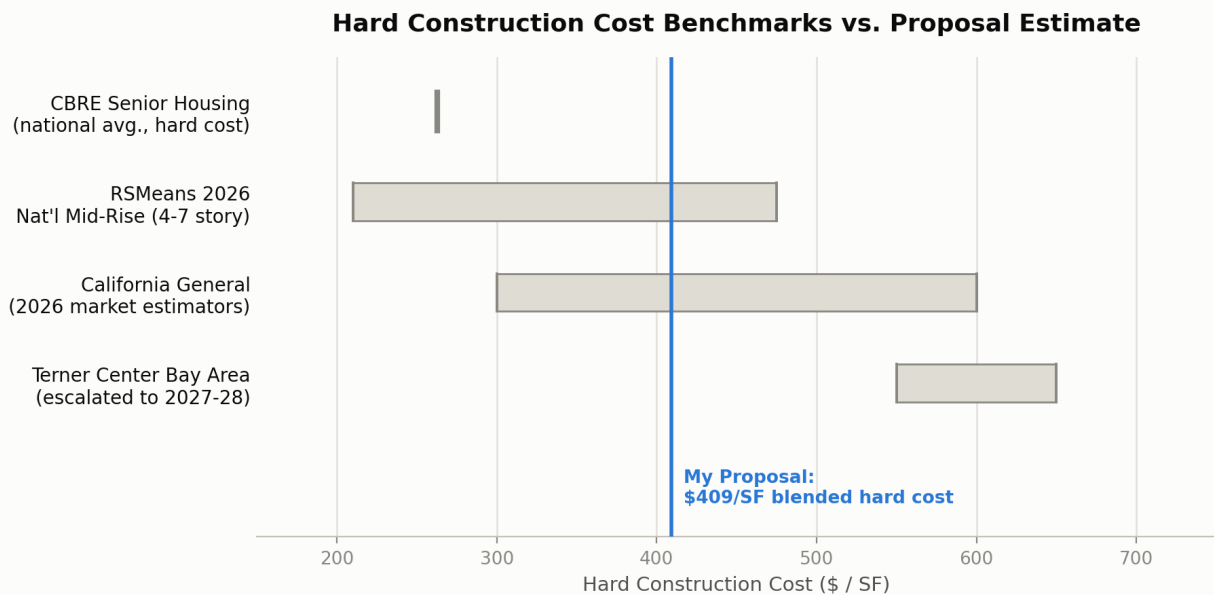


Figure 1: Published hard-construction-cost benchmarks (gray ranges) against the proposal's \$409/SF blended estimate (blue line). The proposal sits inside the RSMean and California general ranges, but below the Bay Area-specific (Turner Center) benchmark once escalated to a 2027–2028 start.

Comparative Analysis

The \$409/SF blended hard-cost assumption used in the proposal is defensible against broad national and statewide ranges, but it tracks closer to 2018 Bay Area pricing than to a realistic 2027–2028 estimate, and it does not fully capture the added cost of the senior-housing component (accessibility compliance, life-safety systems, higher finish standards). The real San Jose comparable — a 99-unit mixed-use building with ground-floor retail, similar in program to this proposal — closed construction financing in late 2025 at roughly \$850–\$900/SF all-in, well above the proposal's \$532/SF all-in total.

That comparable is not a clean apples-to-apples number: it is publicly financed affordable housing, which carries prevailing-wage labor requirements, a longer CEQA/entitlement timeline, and a deeper soft-cost and developer-fee stack than a typical privately financed project. Even discounting for that premium, however, the gap between \$532/SF and \$850–900/SF is large enough to signal that the proposal's total is understated for current Bay Area conditions.

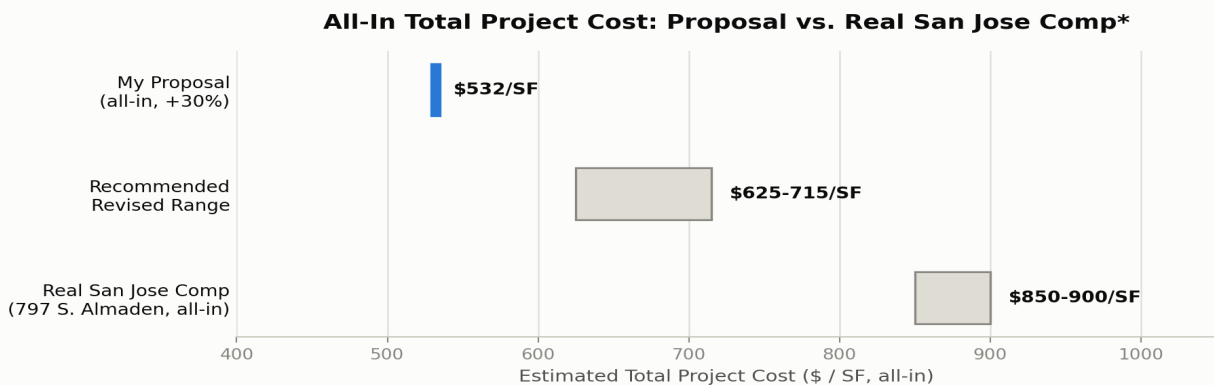


Figure 2: All-in total project cost per SF — the proposal's \$532/SF sits well below both a revised recommended range and the real San Jose all-in comparable (different cost basis; see note above).

Recommendation

For a more defensible 2027–2028 Bay Area estimate, revise the blended hard-cost rate to roughly **\$480–\$550/SF** (still conservative relative to the Turner-escalated \$550–650/SF range), which would bring the all-in total (with the same 30% contingency/escalation/fee allowance) to approximately **\$625–\$715/SF**, or roughly **\$20.3M–\$23.2M** total project cost for the 32,500 SF program — still meaningfully below the San Jose affordable-housing comparable, consistent with this being a privately financed project rather than a publicly funded one.

Sources

- RLB Construction Cost Report North America Q1 2026 — rlb.com/americas/insight/rlb-construction-cost-report-north-america-q1-2026
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- Turner Center for Housing Innovation (UC Berkeley), The Hard Costs of Construction: Recent Trends in Labor and Materials Costs for Apartment Buildings in California — turnercenter.berkeley.edu/research-and-policy/hard-construction-costs-apartments-california
- The Real Deal, "San Jose affordable housing project secures \$82M in construction financing," Nov. 2025 — therealdeal.com/san-francisco/2025/11/12/san-jose-affordable-housing-project-secures-82-million-debt
- RSMeans, "How Much Does It Cost to Build an Apartment Complex" (2026 data) — rsmeans.com/resources/how-much-does-it-cost-to-build-an-apartment-complex
- designandbids.com, "Apartment Construction Cost Per Square Foot (2026 Guide)" — designandbids.com/apartment-construction-cost-per-square-foot

Prepared as a supplementary research memo for the Mix Used, Senior Housing construction proposal. Figures are planning-level estimates for an academic exercise, not a substitute for a licensed estimator's quantity take-off or current subcontractor bid pricing.